

PAGERO



Country Compliance Report: **Estonia**

Information class: Restricted



Country Compliance Report: Estonia

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for Estonia, which will be used throughout the whole document.

Term	Explanation
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2C	Business-to-Consumer normally refers to the process of businesses selling products and services directly to consumers, with no middleman i.e. supplier to consumer.
B2G	Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies
Interoperability as a CTC	Trading parties exchange e-invoices in a predefined format and a predefined method, either directly with each other, or typically, via service providers that may require certain accreditations
OpenPeppol AISBL	OpenPeppol AISBL (Association Internationale Sans But Lucratif) is a non-profit international association under Belgian law and consists of both public sector and private members. The organization acts as a Peppol Authority when no national Peppol Authority exists.
Peppol	The Peppol Network is a logical network enabling a secure and reliable exchange of Peppol Dataset Types between End Users via Peppol Service Providers.
Peppol Authority	The Peppol Authority is responsible within a country or region for the registration of companies that wish to become an Access Point (AP) or a Service Metadata Publisher (SMP).
Post Audit	A model where the Trading Partners are allowed to exchange e-invoices and perform obligations without a requirement for prior clearance of such issuance or other actions with the (tax) authorities. Instead, transactions are reported to the authorities after they have taken place.

Validation of eSignature	means the process of verifying and confirming that an electronic signature or a seal is valid.
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2. General overview

This section provides an initial introduction into the local e-invoicing environment within Estonia, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance • Estonian Tax and Customs Board
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Accounting Act • Accounting Act amendment 795 SE • The VAT Act



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes¹	• Different regimes for B2B and B2G invoicing
e-Invoicing model	• B2B: Post-Audit • B2G: Interoperability/Peppol²
e-Invoice definition³	• An electronic invoice is an invoice that is issued, transmitted and received, which can be processed automatically and electronically
Scope of taxpayers the e-document mandate applies to	• B2G: Domestic suppliers to all public authorities must send e-invoices. All public entities have to be able to receive e-invoices. • There are no such requirements on B2B transactions
Mandatory AoR (document response) process	• N.a.
Implementation / roll-out plan	• As of July 1, 2019, invoices to the public sector can only be sent as e-invoices according to the Accounting Act approved by the Riigikogu on 20 February 2019

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² The governmental e-invoice platform [e-Financials](#) does not have a connection to Peppol. Peppol is primarily used by service providers in Estonia for cross-border e-invoicing.

³ Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



4. Before switching to e-invoices

4.1. IT⁴ registration

The following thresholds apply to the requirement to be registered for a IT number in Estonia:

- Exemption for small businesses – EUR 40.000
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – EUR 10.000

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

Estonia IT number format: EE123456789

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• Consent is required; however, the Estonian VAT law does not explicitly specify how the consent should be given. Non-acceptance of e-invoices may be reasoned by disproportionate costs and efforts for the customer • The format and conditions of submission of e-invoices shall be agreed between the trading partners, unless otherwise

⁴ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

	provided by law or another legal instrument
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• No explicit requirements

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• Not explicitly required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Required
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• No explicit requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• There is no obligation to inform the authorities, however, there is no consequence in doing so. Moreover, if an entity can accept e-invoices, then it usually encourages the suppliers to issue e-invoices and therefore it is the entity's own interest to make this information public
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No • E-invoicing service providers may at the behest of their customer, notify the Centre of Registers and Information Systems (RIK) that a customer entity is accepting e-invoices via their services. This notification does not need to contain any other information apart from the identity of the entity and the fact that they now able to accept e-invoices. Once this is confirmed by the entity, the information will become available on the public register



4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Estonia has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• B2B: No explicit requirements • B2G: EN compatible formats or EVS 923:2014 and EVS 923:2014/AC:2017 (National XML-based Standard) • RIK and other Estonian public institutions accepting PDF invoices from foreign suppliers (B2G mandate does not extend to non-established entities)
Other document format(s) commonly used for exchange between trading parties	• PDF, WORD
Mandated platform(s) required to have connection with for e-document processing	• No explicit requirements
Other platform(s) relevant for e-document processing	• The Estonian government does not mandate nor recommend any e-invoicing service providers and economic operators are free to choose their e-invoicing solutions. • e-Financials, maintained by RIK, is a platform which serves the purpose of receiving and sending e-invoices and accompanying documents between suppliers and public contracting authorities. Mainly intended for smaller companies and start-ups. E-financials is used for a fee, however receiving and sending e-invoices to the public sector is free of charge. E-Financials does not have a connection to Peppol.
Schematron(s), XSD schema or other official	• N.a.

mechanisms ensuring document content	
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	RIK PEPPOL ID is 0191:70000310 (EE)
Other technical aspects	N.a.

5.2. Communication with mandatory infrastructure

Regulations in Estonia foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	Allowed
Manual	N.a.
Other options	N.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

Issuing process B2G e-invoicing

In Estonia it is mandatory to send e-invoices as a supplier to public authorities. E-invoices must be transmitted according to the processes outlined below:

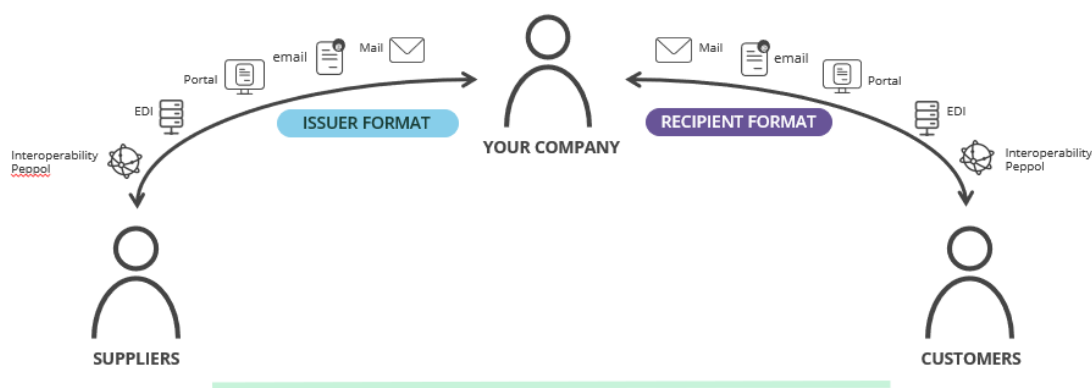
The Estonian Center of Registers and Information Systems (RIK) maintains the government-owned infrastructure ([e-Financials](#)) that performs the service of receiving and sending e-invoices and accompanying documents between suppliers and public contracting authorities. RIK will be accepting e-invoices that comply with [EN 16931-1](#), i.e. UBL 2.1 or CII and the Official Estonian e-invoice standard EVS 923: 2014 / AC: 2017

Companies and institutions can use the [eBusiness registry](#), where all organisations receiving e-invoices (business and non-profit associations, foundations and state and local government agencies) are registered. The register lists all necessary information to electronically transmit invoices to registered companies/institutions.

Estonia's approach to e-invoicing is however decentralised, whereby contracting authorities can contract an e-invoicing service provider of their choosing to receive e-invoices compatible with the European Norm instead of being connected to the central platform.

Issuing process B2B e-invoicing

B2B e-invoicing is currently not explicitly regulated. Since B2B e-invoicing follows the post-audit model, Trading parties can therefore choose numerous methods for exchange and the format for which the invoice file will be. The graph below illustrates the generic issuance process:



(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to business-related preferences

(2) The key requirements are to ensure the Estonia-specific document content, document integrity and authenticity, as well as archiving requirements are fulfilled

In regards to B2B e-invoicing, it is possible to view if a private company can receive e-invoices or not from the [eBusiness registry](#) provided by the Centre of Registers and Information systems (RIK).

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

No explicit requirements

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

- (1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to business-related preferences
- (2) The key requirements are to ensure the Estonia-specific document content, document integrity and authenticity, as well as archiving requirements are fulfilled

Receiving B2G e-invoicing

All Public entities must be able to receive e-invoices. The public sector receives e-invoices individually and not via a central platform. They are free to choose their own e-invoicing solution.

Receiving B2B e-invoicing

There are no explicit requirements on the B2B reception, validation, or AoR processes. In regards to B2B, Estonia follows the post-audit model, which has been outlined above under [section 5.3.1](#).

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

No explicit requirements

5.5. AoR (response) process

There are no explicit requirements for private businesses to be able to receive or process electronic invoices available

No explicit requirements

5.6. Mandatory infrastructure validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/approval response, rejection, semi approved, etc.

No explicit requirements.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

There are no requirements for invoice copies to have any particular wording to differentiate it from the original in Estonia, but it is recommended.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	No explicit requirements
Pull communication	No explicit requirements
E-mail distribution	No explicit requirements
Webportal⁵	No explicit requirements
Scanning inbound invoices	Allowed
Scanning outbound invoicing	Allowed

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	- Other - The solution would mainly depend on the suppliers accounting program. If the program allows then it should be

⁵ Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

	acceptable just to correct the rate. If not then a credit note and a new correct invoice should be issued.
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Other • In case the invoice itself is correct, but the customer paid too much, then there is no need to correct the invoice.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Corrective document. The solution would mainly depend on the suppliers accounting program. If the program allows then it should be acceptable just to correct the missing information. If not then a credit note and a new correct invoice should be issued.
Other scenarios with different correction option	• N/A
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• No explicit requirements, however, is recommended to be avoided
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Yes
Whether any conditions apply, and which, to the dematerialisation	• As per VAT Act, § 36 (1,3) "The information set out in an invoice shall be preserved in its original form"

	• However, the tax authority has confirmed that, this is allowed and that the original paper invoice can then be destroyed
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• No
Whether any conditions apply, and which, to the materialisation	• Printing of e-Invoices is allowed, but e-Invoices must be archived/stored in the received electronic format

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

No specific prescriptions for Estonia.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Simplified invoice • Self-billed invoice
Documents mandatory for issuance by buyer	• N.a

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	• Yes • The invoice amount (excluding VAT) does not exceed EUR 160

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes. Estonian legislation does not prohibit to use different series of sequential numbers for intercompany billings, credit notes etc. Therefore, in our opinion different series of sequential numbers are allowed.

Allowed to start a new sequential numbering every year	Yes, however invoices need to be clearly distinguishable. For example it is not allowed to start numbering invoices from number 1 in year 2020 and again from number 1 in year 2021.
Worldwide numbering on legal entity level allowed provided that gaps can be explained	No, numbering required per registration. We advise to number invoices per local VAT number. Otherwise Estonian tax authority may doubt the accuracy of the information provided.
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

6.3. Indirect tax (IT)⁶ rates

This section illustrates the applied IT⁷ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
22%	Standard	All other taxable goods and services. As of 1 January 2024, the standard VAT rate increases from 20% to 22%.
13%	Reduced	As of 1 January 2025, the VAT rate for accommodation services increases from 9% to 13%. The user of cash accounting of VAT may pay VAT at the rate of 9% on the supply of accommodation services or accommodation services with breakfast generated after 31 December 2024 if an invoice was issued and the service was supplied before 1 January 2025
9%	Reduced	Medical equipment and products for handicapped people, Books (excluding textbooks and workbooks related to the national curriculum), Periodicals. As of 1 January 2025, the VAT rate for press publications increases from 5% to 9%. The user of cash accounting of VAT may pay VAT at the rate of 5% on the supply of press publications generate after 31 December 2024 if an invoice was issued and the goods or services were provided before 1 January 2025.
0%	Reduced	Exports of goods, Listed exported services, Intra-Community supplies of goods, Seagoing vessels, equipment, spare parts and fuel for seagoing

⁶ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁷ Local name: Käibemaksukohustuslase number

		Vessels, Aircraft operating on international routes, equipment, spare parts and fuel for named aircraft, Goods and services provided to international military headquarters located in Estonia if the tax incentives are laid down in an international agreement
	Exempt	Health care services, Real estate transactions, Financial services, Insurance and reinsurance services, Insurance mediation, Educational services, Lotteries and gaming, Postal services, Learning materials related to education

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Estonia. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• Yes
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No, but translation can be requested. -- Not required, however the Estonian tax authority may ask the supplier/client to translate the invoices during the auditing process.
Sequential numbering	• Yes. Estonian legislation does not prohibit to use different series of sequential numbers for intercompany billings, credit notes etc. Therefore, in our opinion different series of sequential numbers are allowed.
Required to mention copy or duplicate in case a copy is issued	• No
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• No
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes provided that the legal address is mentioned as well and it is clearly indicated
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply

IT identification number of the supplier in the country of establishment	• No
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes
Legal form of the supplier	• Yes
Trade register number of the supplier	• No, but recommended
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• No
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• No
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes provided that the legal address is mentioned as well and it is clearly indicated. Estonian VAT Act does not regulate which address should be used. Therefore, in our opinion, a Post Office Box address may be also used. However, in practice we have seen that the legal address of the customer is used
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• Yes, if available
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• Yes
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes

Other customer data	• No
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Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date
Date of prepayment	• Only if it differs from the invoice date
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No, but recommended
Shipped from location (for the supply of goods)	• No, but recommended. -- In case the goods will be transported out of Estonia then we recommend reflecting the shipped from location of the goods
Shipped to location (for the supply of goods)	• No, but recommended. -- In case the goods will be transported out of Estonia then we recommend to reflect the shipped to location of the goods
Status of the goods (e.g. in bond, in free circulation)	• No
Incoterms	• No • It is not required to reflect incoterm rules on the invoice. However, in cases it may be useful (i.e. there's no other transport agreement in a written form etc.)
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• Other possible requirements are listed in the Estonian VAT Act § 37 (8), most commonly the supplier should refer to the provision of the Estonian VAT Act or EU VAT Directive

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• No, but recommended
Mandatory to mention the total IT amount due in the national currency	• Yes

Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	The Estonian VAT Act only says regarding the amount of VAT that it must be reflected in the national currency
Exchange rate (if the invoice is not issued in the local currency)	No
Which exchange rate must be applied in order of priority	Exchange rate published by the Bank of Estonia.
Terms of payment	- Yes - Invoice should reflect the date of payment for the invoice and the bank details of the supplier.
IBAN and BIC number of supplier	- Yes - Invoice should reflect the bank details of the supplier

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	Yes
List the required references in case of exemption or reverse charge	Either reference to the applicable provision of the Estonian VAT Act or to the EU VAT Directive.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - "Transfer of own goods- article 17 VAT Directive"?	Yes
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	Yes

Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	No other specific references required
Specific references required in case invoicing is outsourced	No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	- No - Customer should have a purchase invoice to be allowed to deduct the input VAT
Other specific requirements/references to be mentioned on an invoice	No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	Yes
Maximum amount for simplified invoices	EUR 160,00 (excluding VAT)
Other supplies for which a simplified invoice can be issued	- The provision of transport services for passengers; - In the case of invoices printed by parking meters, automated petrol stations and other similar machines
Simplified invoices limited to certain type of supplies	- Yes - A simplified invoice may be issued, provided that the amount indicated in the invoice does not exceed EUR 160 exclusive of VAT, in the following cases: 1) upon the provision of transport services for passengers; 2) in the case of invoices printed by parking meters, automated petrol stations and other similar machines
Simplified invoices not allowed for certain transactions	Yes

Minimum content requirements on a simplified invoice	• Date of issue of the invoice • Name of the taxable person and the person's registration number as a taxable person • Name or description of the goods or services • Taxable amount • VAT amount to be paid
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by an established supplier that are taxable in the country, • Invoices issued by an established supplier that are taxable in another country but where VAT is due by the customer, • Invoices issued by an established supplier that are taxable in another country but where VAT is due by the supplier. – The general rule is that a taxable person registered in Estonia has the obligation to issue an invoice that complies with the Estonian national requirements. However, there are some exemptions. For example, if the receiver of the invoice is a natural person then generally the invoice does not meet the requirements established in VAT Act § 37 (6) etc., although there are also some exemption • Therefore, this should be further checked on a case by case basis
(other) Invoices subject to the national invoice requirements (not self-bills)	• N/A

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Estonia, credit notes must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number and date
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• Yes
Reason for credit required	• No

	• The supplier should be able to justify to the Estonian tax authority why the initial invoice was credited if needed
--	---

Sequential numbering	
Separate sequential credit note numbering required	• No
Allowed to issue one credit note to correct different invoices	• No

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

There is no additional content to include in the e-invoices in Estonia.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	Required	Required
Which methods for ensuing I&A are provisioned for	Any means Business Controls, EDI, e-signature	Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	No explicit requirements, an explicit agreement is strongly recommended	No explicit requirements, an explicit agreement is strongly recommended

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	Estonian digital signature standard and other standards provided in EC Reg No 910/2014 are accepted

Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements



8. Document retention

This section describes archiving requirements regarding the e-invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original e-invoice is in machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property⁸	• 7 years
Start point of retention period calculation for invoices not related to immovable property	• A taxable person shall preserve copies of invoices issued by or on behalf the person (subsection 1 of § 37 of Estonian VAT Act) and invoices for goods acquired or services received by or on behalf of the person in chronological order for seven years as of the date of their issue or receipt.
Retention period for e- invoices related to immovable property	• General rule is to store invoices related to immovable property for 10 years. This is due to input VAT adjustment period, which is 10 years for immovables.
Start point of retention period calculation for invoices related to immovable property	• 10 years from the end of financial year the immovable was acquired.

⁸ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Retention period for other than regular invoices or invoices related to immovable property (if existing):	OSS and IOSS related documents should be kept for 10 years as of the end of the year of supply. Customs declarations certifying the import of goods shall be preserved for 7 years as of the beginning of the calendar year following customs formalities.
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	Regarding OSS and IOSS, storage period is as of the end of the year of supply. Regarding customs declarations, storage period is as of the beginning of the calendar year following customs formalities.
Outsourced archiving	Yes, it is allowed to external service providers to preserve accounting documents. However, the accounting entity itself remains to be the person who is responsible for preserving accounting documents
Archiving abroad⁹ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	Allowed
Other requirements in relation to electronic document retention	No

⁹ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	No explicit requirements
Rectification document	Yes, see section 6.6 above
Payment instruction	No explicit requirements
SAF-T (or alike) reporting	No explicit requirements
Transportation documents	No explicit requirements
Other	N.a.



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

The [Public Procurement Register](#) is a free self-service environment for contracting authorities to conduct and economic operators to participate in public procurements.

When billing contracting public authorities, the usage of e-invoices are mandatory.

10.2. Indirect tax reports

VAT Return

Entities report VAT in a VAT return.

Periodic returns

Estonian taxable persons must file VAT returns monthly. Returns must be filed by the 20th day of the month following the end of the tax period. Invoices must be disclosed in the VAT return appendix in the following cases, which must be fulfilled simultaneously:

- Invoices on which the transferor of the goods or provider of services has marked the supply taxable at the 20% and 9% VAT rates.
- Invoices with a total amount (without VAT) that makes up at least 1,000 euros for one transaction partner during the taxation period. The transaction partner-based threshold shall be calculated separately for purchase and sale invoices.

Electronic filing

Electronic filing is allowed in Estonia, but not mandatory. VAT returns can be submitted electronically using the tax authority's electronic self-service environment "E-Tax Board". Electronic filing becomes obligatory for persons who have been VAT liable for at least 12 months. A taxable person can continue submitting paper forms after the tax authority approves a formal application.

However, digital reporting is the preferred method for filing VAT returns in Estonia. The Estonian Tax and Customs Board has developed the electronic tax filing system called e-Tax portal for taxable persons to submit tax declarations by inserting and uploading data to e-Tax portal.

10.3. EU Directive 2014/55/EU

The Ministry of Finance has published the Estonian Accounting Act Amendment Act 795 SE. The change in legislation states that all invoices sent to public sector organizations must be e-invoices and the Public authorities (PA's) will only accept e-invoices that comply with the European Standard on electronic invoicing (EN) or the national XML (EVS 923:2014/AC:2017). By being able to receive invoices that comply with the standard, the Public Authorities are fulfilling the requirements of the Directive.

Supplier mandate

Estonia has gone beyond the requirements of the Directive and have made the B2G e-invoicing mandate include suppliers.

That is, new and existing suppliers under public procurement contracts are required to send e-invoicing to public institutions from 1st July 2019, however RIK and other Estonian public institutions will be accepting pdf invoices from foreign suppliers even after 1st July 2019 Supplier mandate enforcement, they do nevertheless prefer receiving e-invoices.

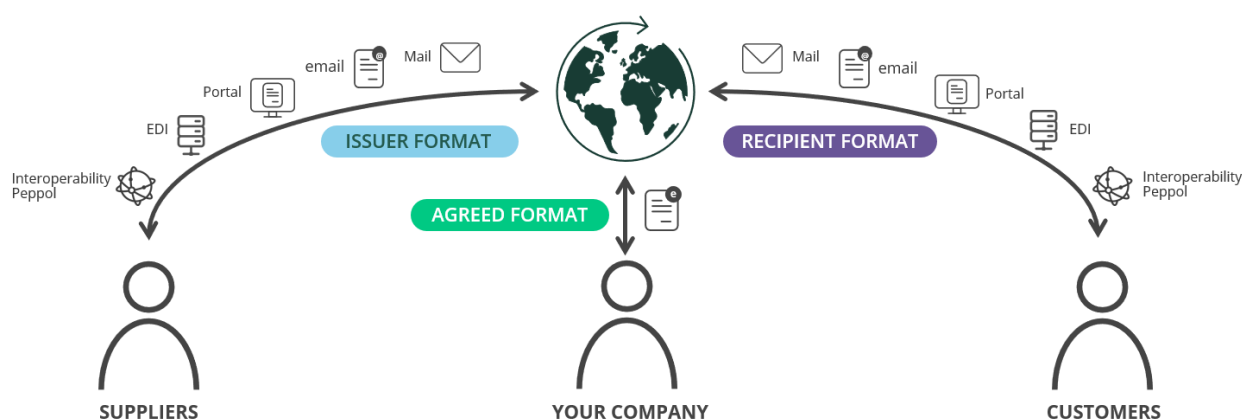


11. Country-specific processing

This section outlines how the Pagero General e-invoicing process has been adapted to the local requirements to ensure compliant local processing.

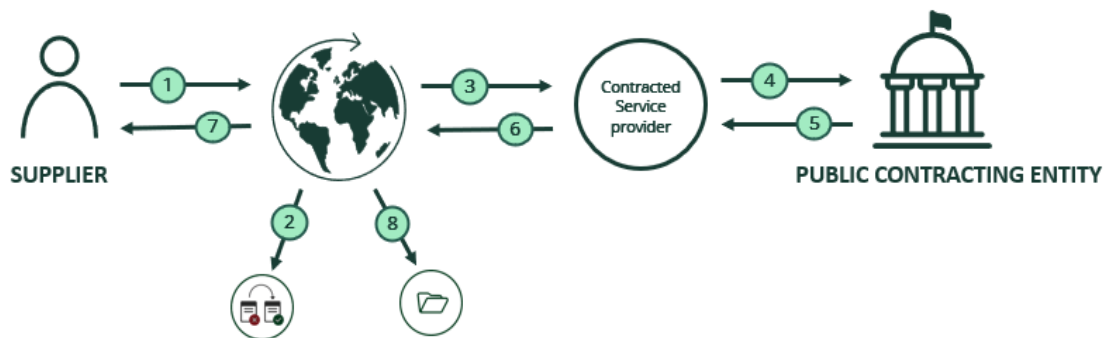
11.1. Document issuance (AR) with Pagero

B2B Invoicing



- (1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
- (2) PAGERO ensures the customer-specific document content, document integrity and authenticity, as well as archiving requirements
- (3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
- (4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

B2G Invoicing



- (1)** Supplier provides data in supplier preferred format to PAGERO
- (2)** PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- (3)** PAGERO sends the final e-document to contracted service provider of the public entity
- (4)** The contracted service provider sends the received e-document to the public entity in one of the mandatory formats in Estonia compatible with EN standard.
- (5-7)** A positive or negative acknowledgment message must be sent for the received invoice data within 24 hours of receiving the data.
- (8)** PAGERO archives all relevant documents on behalf of the supplier

11.2. Document reception (AP) with Pagero

B2B Invoicing

Similar to the issuance process as B2B follows the post-audit model in Estonia. See the chart in [section 11.1](#) above.

B2G Invoicing

Pagero does not currently offer support for inbound documents on the B2G side.



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
4 March 2019	Document created
20 October 2021	Amended flowcharts section 11
27 October 2022	Document updated in all sections. Added flowcharts
27 July 2023	Section 6.3: Content update